

Equity Momentum Swing Beast

Intro and Overview

Disclaimer

This is not a recommendation to buy or sell any securities,
this is for educational purposes only

Trading is hard

You will lose money

Hopefully after some long hard work you will better, this is
not a speedpass to billions of dollars

Who Am I

Founder and head trader at PollinateTrading.com

Over 22 years experience trading as a prop trader, a portfolio manager at a hedge fund mostly trading quant and momentum systems

I've traded the .com collapse, 9/11, GFC, Flash Crash, Brexit, Volpocalypse, 2018 meltdown, COVID and every crazy market in between

Why Trade With a System?

Provide predictable setups

Provide repeatable setups

You can test and track them historically to inform the future

Measure and compare your results to improve

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Markets move between periods of low volatility and periods of high volatility

These moves leave patterns

These patterns are repeatable, because humans trade them

Human emotion is repeatable

These patterns are predictable, because humans trade them

Human emotion is repeatable

The Momentum Edge

Investors either overreact to important information or they under react to it.

Winners from the past 3 to 12 months continue to outperform losers over the next 3 to 12 months

- Pure underreaction to information
- Continued overreaction to information
- Required (expected) returns that vary with past returns

Additional Edges

Position Sizing/risk management

Defined time window

Market Regimes and Market Direction

Price Discovery

Characteristics of the Strategy

Can use a small account or a large account

Established well funded trader

Minimal time requirement

No Pattern Day Trading Rule

In the top performing assets

Up next

We are going to learn about Market Regimes